

Atlas ERP Rollout - Q3 2026 Budget Summary

RESTRICTED - FINANCE GROUP ONLY. Prepared by the programme management office on 2026-08-31 from the finance ledger extract of the same date. Figures are in USD and exclude recoverable VAT. This document is the authoritative budget position for the Atlas programme; the monthly delivery status report quotes headline figures from it and is not a substitute for it.

1. Headline position

The approved budget for the Atlas programme is 480,000. Actual spend to 2026-08-31 is 292,800, or 61.0% of approval. The forecast at completion is 515,000, an overrun of 35,000, or 7.3% above approval.

Elapsed schedule at the reporting date is 68% of the baseline duration, so the programme is spending marginally slower than it is consuming schedule. That comparison is not a health indicator on its own: the remaining schedule contains the two cutovers, which are the most expensive weeks in the plan.

2. Spend by cost category

Category	Approved	Actual to date	Forecast	Variance
Vendor licence and hosting	168,000	112,000	168,000	0
Vendor professional services	144,000	96,400	171,000	27,000
Internal delivery team	108,000	63,200	108,000	0
Data migration tooling	24,000	14,600	26,500	2,500
Training and change	21,000	5,400	21,000	0
Contingency	15,000	1,200	20,500	5,500

The entire forecast overrun sits in three categories, and one of them dominates. Vendor professional services carries 27,000 of the 35,000.

3. What drives the overrun

3.1 Vendor professional services

Two unplanned migration rehearsals were run in July and August at a combined cost of 19,000. A third rehearsal, if the steering committee funds it, adds a further 11,000 at weekend rates, of which 8,000 is not yet in the forecast because the decision has not been taken. Extended vendor support hours during the August rehearsal account for the remaining 8,000 of the variance.

3.2 Data migration tooling

The reconciliation reporting module of the migration tool was licensed for three months and is now required for five, because the rehearsal cycle has extended. The additional two months cost 2,500.

3.3 Contingency

Contingency has been drawn down by 1,200 to date. The forecast assumes a further 19,300 is drawn, which is the whole of the remaining balance plus the 5,500 increase requested. Contingency at this level provides no cover for a fourth rehearsal or for an extension of the legacy payments bridge beyond two weeks.

4. Commitments not yet invoiced

Purchase orders raised and not yet invoiced total 41,700. Of that, 28,000 is the vendor professional services order covering the cutover weekend, 9,200 is the migration tooling extension, and 4,500 is training delivery already performed and awaiting invoice. These commitments are included in the forecast at completion and excluded from actual spend to date.

5. Forecast method

The forecast at completion is built bottom-up from remaining planned work, not by extrapolating the burn rate. Each remaining work package is priced at its contracted rate, commitments are added at their purchase order value, and contingency is forecast at the balance the programme expects to draw rather than at the balance remaining. A burn-rate extrapolation at the reporting date would have produced 431,000 and would have been wrong by 84,000, because it cannot see the cutover weekends.

6. Sensitivities

Scenario	Effect on forecast
Third rehearsal funded and clears	plus 11,000, M2 recovered
Third rehearsal funded and fails	plus 11,000, M2 still late
Legacy payments bridge retained a further month	plus 6,000
Fourth rehearsal required	plus 11,000 and contingency exhausted
Warehouse cutover runs to plan	no change; already fully forecast

The worst realistic case, a funded third rehearsal that fails followed by a fourth, takes the forecast to 537,000 and exhausts contingency entirely.

7. Governance position

The delegated tolerance for this programme is 5% of approval, or 24,000. The forecast overrun of 35,000 exceeds it, so the overrun cannot be absorbed by a steering committee decision and requires a change request to the investment board. The steering committee instructed the PMO lead on 2026-08-27, under decision SC-2026-08-02, to prepare a change request for 40,000, being the forecast overrun plus a 5,000 contingency uplift.

Until that change request is approved, no further spend may be committed against the categories carrying variance, which in practice means the third rehearsal cannot be ordered without either board approval or an explicit sponsor waiver.

8. Approval

Prepared by the PMO lead on 2026-08-31. Reviewed by the finance business partner on 2026-09-01. This document is restricted to the finance group and to named members of the steering committee; it is not

circulated with the monthly status report.

9. Assumptions and exclusions

9.1 Assumptions

The forecast assumes the contracted vendor day rate holds to the end of the programme, that no further migration rehearsal beyond the third is required, that the legacy payments bridge is decommissioned two weeks after the M2 cutover, and that internal delivery staff remain at their current allocation through to M3. Each of these assumptions is testable at the September steering committee and none of them has changed since the July report.

9.2 Exclusions

Excluded from this budget: recoverable VAT, the cost of internal business users attending training, the hardware refresh in the warehouse depots, and any remediation arising from the internal audit review of the audit extract. The last of these is the only one with a realistic chance of becoming a cost in this financial year, and it would fall to the audit function budget rather than to the programme.

9.3 Currency and rounding

All figures are in USD. Vendor invoices denominated in EUR are converted at the rate in force on the invoice date and are not revalued afterwards. Totals are rounded to the nearest 100, so a column may not sum exactly to its total.